THE MOST

Union Assurance PLC
Condensed Interim Financial Statements
For the Three Months Ended 31 March 2026

INCOME STATEMENT

For the period ended 31 March	Note	2026 Rs. '000	2025 Rs. '000	Change %
Gross written premium	7	**6,676,569**	5,735,461	16
Premium ceded to reinsurers		**(481,479)**	(401,004)	20
Net written premium		**6,195,090**	5,334,457	16
Other revenue				
Net investment income		**3,283,652**	2,911,241	13
Net realised gain/(loss)		**(21,226)**	283,010	(108)
Net fair value loss		**(876,191)**	(282,215)	210
Other income		**5,581**	7,006	(20)
Total other revenue		**2,391,816**	2,919,042	(18)
Total net revenue		**8,586,906**	8,253,499	4
Benefits, claims and expenses				
Net insurance benefits and claims paid		**(2,156,920)**	(1,810,321)	19
Net change in insurance claims outstanding		**(1,532)**	(23,792)	(94)
Change in insurance contract liabilities		**(3,312,872)**	(3,366,400)	(2)
Underwriting and net acquisition costs (net of reinsurance)		**(1,123,951)**	(1,081,855)	4
Other operating, administrative and selling expenses		**(1,455,833)**	(1,176,554)	24
Depreciation and amortisation		**(153,467)**	(175,374)	(12)
Total benefits, claims and expenses		**(8,204,575)**	(7,634,296)	7
Profit from operations		**382,331**	619,203	(38)
Share of results of equity accounted investee, net of tax		**-**	85,012	(100)
Profit before tax		**382,331**	704,215	(46)
Income tax expenses	8	**(115,925)**	(187,723)	(38)
Profit for the period		**266,406**	516,492	(48)
Earnings per share				
Basic (Rs.)		**0.45**	0.88	(49)
Diluted (Rs.)		**0.45**	0.88	(49)

The notes form an integral part of these interim financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 31 March	2026 Rs. '000	2025 Rs. '000	Change %
Profit for the period	**266,406**	516,492	(48)
Other comprehensive income			
Items that are or may be reclassified subsequently to income statement			
Fair value reserve (available for sale financial assets)			
Net change in fair value of available for sale financial assets	**(65,176)**	(13,891)	
Share of net change in fair value of available for sale financial assets of equity accounted investee, net of tax	**-**	(13,603)	
Net change in fair value of available for sale financial assets transferred to the income statement	**-**	(246,885)	
	(65,176)	(274,379)	(76)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	**(518,001)**	(84,304)	
Net change in fair value of available for sale financial assets of insurance liabilities transferred to the income statement	**(31,258)**	(38,837)	
	(549,259)	(123,141)	346
	(614,435)	(397,520)	55
Other comprehensive income, net of tax	**(614,435)**	(397,520)	55
Total comprehensive income for the period, net of tax	**(348,029)**	118,972	(393)

The notes form an integral part of these interim financial statements.

STATEMENT OF FINANCIAL POSITION

As at	Note	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Assets			
Intangible assets		**7,243,183**	7,274,896
Property, plant and equipment		**3,441,135**	3,383,567
Right of use assets		**544,275**	508,588
Financial investments	10	**108,002,769**	108,252,636
Loans to life policyholders		**2,969,457**	2,858,074
Reinsurance receivable		**525,055**	526,145
Premiums receivable		**885,416**	1,032,595
Receivables and other assets		**2,068,746**	1,714,282
Cash in hand and at bank		**1,559,721**	1,698,143
Total assets		**127,239,757**	127,248,926
Equity and liabilities			
Equity			
Stated capital		**1,000,000**	1,000,000
Restricted regulatory reserve	11	**3,381,934**	3,381,934
Revaluation reserve		**2,722,901**	2,722,901
Available for sale reserve		**2,743,357**	3,357,792
Other reserves		**96,864**	86,684
Retained earnings		**10,143,259**	12,823,282
Total equity		**20,088,315**	23,372,593
Liabilities			
Insurance contract liabilities	12	**97,118,553**	93,758,787
Insurance contract liabilities - Unit Linked		**733,790**	807,777
Lease liabilities		**538,778**	510,588
Employee benefit liabilities		**290,496**	284,384
Reinsurance payables		**582,012**	603,586
Other liabilities		**7,742,567**	7,712,135
Bank overdraft		**145,246**	199,076
Total liabilities		**107,151,442**	103,876,333
Total equity and liabilities		**127,239,757**	127,248,926

The notes form an integral part of these interim financial statements.
I certify that the above financial statements comply with the requirements of the Companies Act No. 07 of 2007.

Himani Weerasekera
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed on behalf of the Board:

K N J Balendra
Chairperson

D P Gamlath
Director

Colombo
11 May 2026

STATEMENT OF CHANGES IN EQUITY

Rs. '000	Stated capital	Restricted regulatory reserve	Reserves				Retained earnings	Total
			Revaluation reserve	Reserve on merger	Other reserves			
					Available for sale reserve	Other capital reserves		
Balance as at 1 January 2025	1,000,000	3,381,934	2,555,360	16,752	4,255,977	59,821	12,398,147	23,667,991
Profit for the period	-	-	-	-	-	-	516,492	516,492
Other comprehensive income for the period								
Net change in fair value of available for sale financial assets	-	-	-	-	(260,776)	-	-	(260,776)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	-	-	-	-	(123,141)	-	-	(123,141)
Share of net change in fair value of available for sale financial assets of equity accounted investee, net of tax	-	-	-	-	(13,603)	-	-	(13,603)
Total other comprehensive income	-	-	-	-	(397,520)	-	-	(397,520)
Total comprehensive income for the period	-	-	-	-	(397,520)	-	516,492	118,972
Transactions with owners, transfers, recorded directly in equity								
Contributions and distributions								
First and final dividend 2024							(2,946,428)	(2,946,428)
Share based payments	-	-	-	-	-	3,883	-	3,883
Total contributions and distributions	-	-	-	-	-	3,883	(2,946,428)	(2,942,545)
Balance as at 31 March 2025	1,000,000	3,381,934	2,555,360	16,752	3,858,457	63,704	9,968,211	20,844,418

The notes form an integral part of these interim financial statements.

STATEMENT OF CHANGES IN EQUITY

Rs. '000	Stated capital	Restricted regulatory reserve	Reserves				Retained earnings	Total
			Revaluation reserve	Reserve on merger	Other reserves			
					Available for sale reserve	Other capital reserves		
Balance as at 1 January 2026	1,000,000	3,381,934	2,722,901	16,752	3,357,792	69,932	12,823,282	23,372,593
Profit for the period	-	-	-	-	-	-	266,406	266,406
Other comprehensive income for the period								
Net change in fair value of available for sale financial assets	-	-	-	-	(65,176)	-	-	(65,176)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	-	-	-	-	(549,259)	-	-	(549,259)
Total other comprehensive income	-	-	-	-	(614,435)	-	-	(614,435)
Total comprehensive income for the period	-	-	-	-	(614,435)	-	266,406	(348,029)
Transactions with owners, transfers, recorded directly in equity								
Contributions and distributions								
First and final dividend 2025	-	-	-	-	-	-	(2,946,429)	(2,946,429)
Share based payments	-	-	-	-	-	10,180	-	10,180
Total contributions and distributions	-	-	-	-	-	10,180	(2,946,429)	(2,936,249)
Balance as at 31 March 2026	1,000,000	3,381,934	2,722,901	16,752	2,743,357	80,112	10,143,259	20,088,315

The notes form an integral part of these interim financial statements.

STATEMENT OF CASH FLOWS

For the period ended 31 March	Note	2026 Rs. '000	2025 Rs. '000
Cash flows from operations			
Insurance premiums received		**6,823,748**	5,798,813
Reinsurance premiums paid		**(202,147)**	-
Insurance benefits and claims paid		**(2,448,617)**	(2,034,003)
Reinsurance claims received		**291,697**	223,682
Payments to intermediaries to acquire insurance contracts		**(1,158,741)**	(1,103,525)
Cash paid to and on behalf of employees		**(619,244)**	(518,466)
Interest received		**3,394,648**	2,916,385
Dividends received		**36,803**	60,055
Other operating cash flows		**(1,649,829)**	(1,991,259)
Cash generated from operating activities	A	**4,468,318**	3,351,682
Interest paid		**(14,623)**	(14,431)
Income tax paid		**(402,294)**	(355,987)
Employee benefits paid		**(6,325)**	(4,356)
Net cash flow from operating activities		**4,045,076**	2,976,908
Cash flows used in investing activities			
Purchase of investments		**(10,177,808)**	(21,312,018)
Maturity proceeds of investments		**3,057,293**	8,288,554
Proceeds from sale of investments		**5,681,849**	17,657,338
Purchase of property, plant and equipment		**(84,453)**	(47,396)
Purchase of intangible assets		**(49,406)**	(5,000,000)
Proceeds from sale of property, plant and equipment		**602**	1,764
Net cash used in investing activities		**(1,571,923)**	(411,758)
Net cash inflow before financing activities		**2,473,153**	2,565,150
Cash flows used in financing activities			
Dividends paid to equity holders of the Company		**(2,506,319)**	(2,493,011)
Settlement of lease liabilities		**(51,426)**	(92,565)
Net cash used in financing activities		**(2,557,745)**	(2,585,576)
Net increase in cash and cash equivalents		**(84,592)**	(20,426)
Cash and cash equivalents at the beginning of the period		**1,499,067**	1,479,874
Cash and cash equivalents at the end of the period	B	**1,414,475**	1,459,448

The notes form an integral part of these interim financial statements.

STATEMENT OF CASH FLOWS

For the period ended 31 March	2026 Rs. '000	2025 Rs. '000
NOTE A.		
Reconciliation of profit before taxation with cash from operating activities		
Profit before tax	**382,331**	704,215
Non - cash items included in profit before tax		
Depreciation and amortisation	**153,467**	175,374
Provision for employee benefits	**12,437**	10,610
Net realised (gains) / losses	**21,226**	(283,010)
Net fair value losses	**876,191**	282,215
Gain on sale of property, plant and equipment	**(30)**	(901)
Amortisation of financial investments	**(127,904)**	(214,604)
Amortisation of lease liabilities	**14,623**	14,431
Scrip dividend income	**(1,403)**	(738)
Share of results of equity accounted investee	**-**	(85,012)
Share based payment expenses	**10,180**	3,883
Profit before working capital changes	**1,341,118**	606,463
Net change in operational assets		
Net change in reinsurance assets	**1,090**	(20,883)
Net change in premiums receivable	**147,179**	63,352
Net change in receivables and other assets	**(156,902)**	(542,823)
Net change in operational liabilities		
Net change in life insurance contract liabilities	**3,285,779**	3,363,321
Net change in reinsurance liabilities	**(21,574)**	168,029
Net change in other liabilities	**(128,372)**	(285,777)
Cash generated from operating activities	**4,468,318**	3,351,682
NOTE B.		
Cash and cash equivalents at the end of the period		
Cash in hand and at bank	**1,559,721**	1,576,176
Bank overdraft	**(145,246)**	(116,728)
Cash and cash equivalents at the end of the period	**1,414,475**	1,459,448

For the purpose of the cash flow statement, cash and cash equivalent consist of cash in hand & at bank, net of outstanding bank overdraft as shown above.

The notes form an integral part of these interim financial statements.

LIFE INSURANCE FUND STATEMENT OF FINANCIAL POSITION

As at	Note	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Assets			
Intangible assets		**491,207**	487,864
Property, plant and equipment		**3,441,135**	3,383,567
Right of use assets		**544,275**	508,588
Financial investments		**96,619,757**	97,417,502
Loans to life policyholders		**2,969,457**	2,858,074
Reinsurance receivable		**525,055**	526,145
Premiums receivable		**885,416**	1,032,595
Receivables and other assets		**1,944,710**	1,422,349
Cash in hand and at bank		**1,477,188**	1,650,737
Total assets		**108,898,200**	109,287,421
Reserves and liabilities			
Reserves			
Revaluation reserve		**2,247,041**	2,247,041
Available for sale reserve		**2,278,078**	2,827,337
Other reserves		**(49,237)**	(49,237)
Total reserves		**4,475,882**	5,025,141
Liabilities			
Insurance contract liabilities	12	**97,118,553**	93,758,787
Insurance contract liabilities - Unit Linked		**733,790**	807,777
Lease liabilities		**538,778**	510,588
Employee benefit liabilities		**290,496**	284,384
Reinsurance payables		**582,012**	603,586
Other liabilities		**5,013,443**	8,098,082
Bank overdraft		**145,246**	199,076
Total liabilities		**104,422,318**	104,262,280
Total reserves and liabilities		**108,898,200**	109,287,421

NOTES TO THE FINANCIAL STATEMENTS

1 Reporting Entity

Union Assurance PLC ('the Company') is a public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the Company are listed on the Colombo Stock Exchange. The registered office and principal place of business of the Company is located at No. 20, St. Michael's Road, Colombo 03.

The Company's controlling entity and ultimate parent undertaking is John Keells Holdings PLC which is incorporated in Sri Lanka.

2 Approval of Financial Statements

The interim financial statements for the three months ended 31 March 2026 were authorised for issue by the Board of Directors on 11 May 2026.

3 Presentation of Financial Statements

These financial statements have been presented in compliance with the requirements of the companies Act No. 07 of 2007 and amendments thereto and Regulation of Insurance Industry (RII) Act No. 43 of 2000, Statement of Recommended Practice (SORP) issued by ICASL and the listing rules of the Colombo Stock Exchange.

4 Basis of Preparation and Changes to The Company's Accounting Policies

4.1 Basis of Preparation

The interim financial statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34 – Interim Financial Reporting. These interim financial statements should be read in conjunction with the annual financial statements for the year ended 31 December 2025. Further, provisions of the Companies Act No.7 of 2007 have been considered in preparing the interim financial statements of the Company. The same accounting policies have been followed in preparation of these interim financial statements as stated in the Audited Financial Statements for the year ended 31 December 2025.

The interim condensed financial statements are presented in Sri Lankan Rupees (LKR) and all values are rounded to the nearest thousand except when otherwise indicated.

4.2 Fair value measurement and related fair value disclosures

The fair values of all the financial assets and financial liabilities recognised during the period were not materially different from the transaction prices at the date of initial recognition. All listed equity instruments were measured based on the market prices as at 31 March 2026 and classified as level 1 as per the fair value hierarchy. There were no transfers between Level 1 and Level 2 and no transfers into or out of Level 3 categories as per the fair value hierarchy during the reporting period.

5 SLFRS 9 - Financial Instruments and SLFRS 17 - Insurance Contracts

SLFRS 9 is effective for annual periods beginning on or after 1 January 2018. It replaces LKAS 39 - Financial Instruments: Recognition and Measurement.

Based on the proposed implementation of SLFRS 17 - Insurance contracts the entities whose predominant activity is issuing insurance contracts are permitted to defer the full application of SLFRS 9 until the adoption of SLFRS 17, which is financial period beginning on or after 1 January 2026.

According to the Statement of Alternative Treatment (SOAT) issued by the Institute of Chartered Accountants of Sri Lanka on the presentation of the Interim Financial Statements, the option has been granted to prepare the interim financial statements of the first two quarters of 2026 as per the application of SLFRS 4 Insurance Contacts.

The Company has used the above temporary exemption.

Accordingly, for this interim period:

- Insurance contracts continue to be recognised, measured, and presented in accordance with SLFRS 4 Insurance Contracts.
- SLFRS 9 Financial Instruments has not been applied, consistent with the SoAT requirement that SLFRS 9 shall not be applied during interim periods where SLFRS 4 is continued.

The adoption of SLFRS 9 & SLFRS 17 standards is expected to have a material impact on the Company's financial position, financial performance, and related disclosures.

As per the SLFRS 9, financial assets will be reclassified based on business model assessments and contractual cash flow characteristics. The introduction of the Expected Credit Loss (ECL) model may accelerate impairment recognition compared to existing practices.

SLFRS 17 replaces SLFRS 4 and introduces a comprehensive and consistent measurement framework for insurance and reinsurance contracts. The Standard establishes principles for recognition, measurement, presentation, and disclosure, with the objective of improving transparency and comparability.

The Company measures its insurance contracts and reinsurance contracts held using appropriate measurement models based on product characteristics. The primary measurement models applied by the Company are the General Measurement Model (GMM) and the Variable Fee Approach (VFA).

Key concepts introduced by SLFRS 17 include the fulfilment cash flows, risk adjustment for non financial risk, and the Contractual Service Margin (CSM), which have been determined in accordance with the requirements of SLFRS 17.

The Company has elected to disaggregate insurance finance income or expenses between profit or loss and other comprehensive income, in order to reduce earnings volatility arising from changes in interest rates.

On transition, the Company will apply the fair value approach due to the unavailability of complete and reliable historical data. Transition adjustments arising from the adoption of both SLFRS 17 and SLFRS 9 have been recognized directly in opening equity at the date of initial application, ensuring consistency between the measurement of insurance liabilities and the underlying financial assets.

SLFRS 17 results in significant changes to profit recognition patterns, establishes a clear distinction between insurance service results and insurance finance income or expenses, and requires separate presentation of insurance and reinsurance contracts in the financial statements. Accordingly, Insurance revenue under SLFRS 17 will no longer correspond to gross written premiums.

The Company has implemented the relevant accounting policies and methodologies required for SLFRS 17 and SLFRS 9 including appropriate governance structures, systems, and internal controls have been established, and the Company is substantially ready for go live. The implementation programmed has been supported by independent external actuarial and accounting expert consultants.

Management is currently in the process of validating the results arising from the application of these standards. As this validation process is still ongoing, no quantitative disclosures have been included in these interim financial statements.

6 Operating Segment

The Company is one legal entity however for Management purposes and to comply with the regulatory framework, the Company is organised into business units based on their products and services and has two reportable operating segments. These segments are managed separately because they require different operational, risk management and marketing strategies. All operating results are reviewed regularly by the Chief Executive Officer (CEO) and Corporate Management to make decisions regarding resource allocation and assess its performance, and for which financial information is available.

Summary of Segment Performance

For the period ended 31 March Rs.'000	2026 Policyholder Fund	2026 Shareholder Fund	2026 Total	2025 Policyholder Fund	2025 Shareholder Fund	2025 Total
Segment revenue						
Gross Written Premium	**6,676,569**	**-**	**6,676,569**	5,735,461	-	5,735,461
Net Written Premium	**6,195,090**	**-**	**6,195,090**	5,334,457	-	5,334,457
Total Investment Income and Other Revenue	**2,061,189**	**330,627**	**2,391,816**	2,340,758	578,284	2,919,042
Total Net Revenue	**8,256,279**	**330,627**	**8,586,906**	7,675,215	578,284	8,253,499
Total Claims and Expenses	**(4,943,407)**	**51,704**	**(4,891,703)**	(4,308,815)	40,919	(4,267,896)
Change in Contract Liabilities	**(3,312,872)**	**-**	**(3,312,872)**	(3,366,400)	-	(3,366,400)
Share of results of equity accounted investee, net of tax	**-**	**-**	**-**	-	85,012	85,012
Segment Profit Before Tax	**-**	**382,331**	**382,331**	-	704,215	704,215
Income Tax Expenses	**-**	**(115,925)**	**(115,925)**	-	(187,723)	(187,723)
Segment Profit After Tax	**-**	**266,406**	**266,406**	-	516,492	516,492

All revenues are from external customers. There is no revenue from transactions between operating segments

As at 31 March Rs.'000	2026 Policyholder Fund	2026 Shareholder Fund	2026 Total	2025 Policyholder Fund	2025 Shareholder Fund	2025 Total
Segment Assets	**108,720,905**	**18,518,852**	**127,239,757**	109,287,421	17,961,505	127,248,926
Segment Equity and Reserves	**4,475,882**	**15,612,433**	**20,088,315**	5,025,142	18,347,451	23,372,593
Segment Liabilities	**104,009,534**	**3,141,908**	**107,151,442**	100,864,667	3,011,666	103,876,333

7 Gross Written Premium

For the period ended 31 March	2026 Rs.'000	2025 Rs.'000
Conventional	**6,674,748**	5,732,402
Unit linked	**1,821**	3,059
Total gross written premium	**6,676,569**	5,735,461

8 Income Tax Expense

8.1 Current tax

Gains and profits from the Life Insurance Business are ascertained in terms of Section 67 of the Inland Revenue Act No. 24 of 2017 and other amendments in line with Inland Revenue (Amendment) Act No. 45 of 2022. As per this section, an income tax rate of 30% is applicable on gains and profits which is the aggregate of;

Surplus distributed to shareholders from the Life insurance policyholders fund as certified by the actuary.

Investment income of the shareholder fund less any expenses incurred in the production of such income.

Surplus distributed to a Life insurance policyholder who shares profits of an entity engaged in the business of life insurance.

NOTES TO THE FINANCIAL STATEMENTS

Amount Recognised in the Profit or Loss

For the period ended 31 March	2026 Rs. '000	2025 Rs. '000
Income tax expense	(115,925)	(187,723)
Current tax expense for the period	**(115,925)**	(187,723)

9 Profits From Life Insurance

No surplus transfer has been made from the life insurance fund to the Income Statement during the period under review.

10 Financial Investments

As at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Held to maturity financial assets (HTM)	46,946,399	48,222,643
Loans and receivables (L&R)	15,469,851	13,267,646
Available for sale financial assets (AFS)	34,854,098	34,774,562
Financial assets at fair value through profit or loss (FVTPL)	10,732,421	11,987,785
Total financial investments	**108,002,769**	108,252,636

11 Restricted Regulatory Reserve

Based on the direction issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL) dated 20 March 2018 and subsequent approval, the Company has transferred Rs. 3,382 million attributable to non - participating fund and non unit fund of unit linked business from life policyholder fund to life shareholder fund (SHF). The distribution of one - off surplus to shareholders, held as part of the Restricted Regulatory Reserve under equity in the statement of financial position is subject to meeting governance requirements stipulated by the IRCSL and can only be released upon receiving approval from the IRCSL. The one - off surplus in the SHF is represented by government debt securities as per the direction of the IRCSL.

As at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Transfer of one - off surplus from non participating fund	3,393,900	3,393,900
Transfer from shareholder fund for the one - off deficit created in the non-unit fund of unit linked life insurance contracts	(11,966)	(11,966)
	3,381,934	3,381,934

12 Insurance Contract Liabilities

As at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Life insurance fund	96,166,808	92,807,484
One - off surplus arising from changing policy liability valuation relating to participating fund	435,046	435,046
Effect of Taxation on Surplus / Bonus transferred to - Policyholders	(101,643)	(101,643)
Claim payables	618,342	617,900
Total insurance contract liabilities	**97,118,553**	93,758,787

The one off surplus retained in Insurance Contract Liabilities comprises of Rs. 432.5 million attributable to participating business and Rs. 2.5 million attributable to unit linked fund.

12.1 Movement In Insurance Contract Liabilities

As at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Conventional life insurance fund		
Balance as at 1 January	**93,440,468**	78,076,935
Increase in life insurance fund before surplus transfer to shareholders	**3,345,768**	18,637,793
Transfer to shareholders	**-**	(3,344,665)
Effect of Taxation on Surplus / Bonus transferred to - Policyholders	**-**	(22,588)
Net change in unclaimed benefits	**1,893**	92,993
Balance as at period end - Conventional Life insurance	**96,788,129**	93,440,468
Non Unit Fund of Linked Life Insurance Contracts		
Balance as at 1 January	**318,319**	322,572
Increase in non unit fund of linked life insurance before surplus transfer to shareholders	**13,555**	55,435
Transfer to shareholders	**-**	(55,335)
Net change in unclaimed benefits	**(1,450)**	(4,353)
Balance as at period end - Non unit fund of linked Life insurance	**330,424**	318,319
	97,118,553	93,758,787

13 Audit of the Interim Financial Statements

Figures for the three months are provisional and unaudited.

14 Comparative Information

The presentation and classification in the financial statements are amended where appropriate to ensure comparability with the current period.

15 Related Party Transactions

The nature of the related parties in the current period is similar to those reported in the audited financial statements for the year ended 31 December 2025.

Transactions with the Ultimate Parent

As at 31 March	2026 Rs. '000	2025 Rs. '000
Investment in shares	**761,084**	1,256,072
Payable for shared services	**(3,824)**	(3,484)

For the period ended 31 March	Transaction amount during the period	
	2026 Rs. '000	2025 Rs. '000
Receiving of services	**(42,981)**	(34,069)
Dividend income received	**6,367**	3,043
Dividend paid	**(2,651,786)**	(2,651,786)
Purchase of intangible assets	**(9,772)**	-
Net Purchase / (Sale) of share Investments	**(316,230)**	328,915

NOTES TO THE FINANCIAL STATEMENTS

Transactions with companies under common control

As at 31 March	2026 Rs. '000	2025 Rs. '000
Debenture, share Investments and distribution rights	522,673	561,711
Payable for shared services	(6,212)	(11,487)

For the period ended 31 March	Transaction amount during the period	
	2026 Rs. '000	2025 Rs. '000
Purchase of goods	(2,450)	(3,522)
Receiving of services	(176,536)	(148,634)
Purchase of property, plant and equipment	(5,082)	(14,213)
Interest received	9,123	9,125
Dividend received	3,116	1,184
Net Purchase / (Sale) of share Investments	(13,488)	89,462

Transaction with Associates

For the period ended 31 March	Transaction amount during the period	
	2026 Rs. '000	2025 Rs. '000
Receiving of services	-	(86)

Companies controlled / jointly controlled / significantly influenced by KMP and their close family members

As at 31 March	2026 Rs. '000	2025 Rs. '000
Investment in Unit Trusts	-	-

For the period ended 31 March	Transaction amount during the period 2026 Rs. '000	2025 Rs. '000
Rendering / (Receiving) of services	(12,783)	(11,981)
Purchase of Unit trust investments		
Transactions with Key Management Personnel (KMP)		
Rendering / (Receiving) of services	-	-
Transactions with Close Family Members of KMP		
Rendering / (Receiving) of services	-	-

16 Capital and Other Commitments

The capital commitments approved and contracted as at the reporting date were Rs. 91 million.

17 Contingencies

There has been no change in the contingencies, which were disclosed in the audited financial statements for the year ended 31 December 2025.

18 Share Information

Market Price Per Share

For the quarter ended 31 March	2026 Rs. '000	2025 Rs. '000
Last traded	70.00	54.90
Highest price per share for the period	83.20	68.90
Lowest price per share for the period	60.00	52.00

19 Net Assets Per Share

As at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Net assets per share	34.09	39.66

Net assets per share has been calculated based on the number of shares in issue as at each reporting date.

20 Stated Capital

Number of shares as at	31.03.2026	31.12.2025
Ordinary shares	589,285,720	589,285,720

NOTES TO THE FINANCIAL STATEMENTS

21 Twenty Largest Shareholders

		As at 31 March 2026		As at 31 December 2025	
		No. of Shares	%	No. of Shares	%
1	John Keells Holdings PLC	**530,357,150**	**90.0**	530,357,150	90.0
2	Mr. S.N.P. Palihena	**14,000,000**	**2.4**	14,000,000	2.4
3	People's Leasing & Finance PLC / L.P. Hapangama	**5,459,070**	**0.9**	5,442,538	0.9
4	J.B. Cocoshell (PVT) LTD	**3,133,867**	**0.6**	3,573,256	0.6
5	Corporate Holdings (Private) Limited A/C No.01	**1,513,730**	**0.3**	1,513,730	0.3
6	Standard Chartered Bank DIFC Branch S/A EFG HERMES UAE L.L.C	**1,250,275**	**0.2**	1,250,275	0.2
7	Mrs. A. Selliah	**1,100,000**	**0.2**	1,080,000	0.2
8	Mr. J.D. Bandaranayake & Miss. N. Bandaranayake & Dr. (Mrs.) V. Bandaranayake	**1,017,095**	**0.1**	905,929	0.1
9	MR. J.P. Paul	**1,005,109**	**0.2**	1,174,600	0.2
10	Mr. J.D. Bandaranayake & Dr. (Mrs.) V. Bandaranayake & Miss. I. Bandaranayake	**982,905**	**0.1**	884,377	0.1
11	People's Leasing & Finance PLC / L.H.L.M.P. Haradasa	**686,867**	**0.1**	696,867	0.1
12	Dr. S. Selliah	**650,000**	**0.1**	580,000	0.1
13	Mr. J.W. Nanayakkara	**562,500**	**0.1**	562,500	0.1
14	Mr. H.A.D. Ratnapala / Hewa Algiriyage Dias	**562,500**	**0.1**	562,500	0.1
15	Arunodhaya (Private) Limited	**430,000**	**0.1**	400,000	0.1
16	Arunodhaya Industries (Private) Limited	**400,000**	**0.1**	400,000	0.1
17	Mr. S. Sivajeevan	**400,000**	**0.1**	400,000	0.1
18	Odyssey Capital Partners (Private) Limited	**400,000**	**0.1**	400,000	0.1
19	Arunodhaya Investments (Private) Limited	**400,000**	**0.1**	400,000	0.1
20	MR. N.D.Kurukulasuriya	**390,000**	**0.1**	390,000	0.1
	Other	**24,584,652**	**4.0**	24,311,998	4.0
		589,285,720	**100**	589,285,720	100

22 Dividends Paid

For the period ended 31 March	2026 Rs. '000	2025 Rs. '000
Final dividend for 2025 - 5.00 (2024 - 5.00)	**2,946,429**	2,946,429

23 Directors' Shareholdings

No. of shares as at	31.03.2026 Rs. '000	31.12.2025 Rs. '000
Mr. K. N. J. Balendra (Chairperson)	Nil	Nil
Mr. D. P. Gamlath	Nil	Nil
Mr. D. H. Fernando	Nil	Nil
Mr. S. A. Appleyard	Nil	Nil
Mr. P.T. Wanigasekara	Nil	Nil
Ms. C. M. L. D. Bandaranaike	Nil	Nil
Mr. Senath Jayatilake - Appointed w.e.f 23 February 2026	Nil	N/A

24 Chief Executive Officer's Shareholding

No. of shares as at	31.03.2026	31.12.2025
Mr. Senath Jayatilake	Nil	Nil

25 Public Shareholding

The Company is listed on the Colombo Stock Exchange and the percentage of shares held by the public, the number of public shareholders and the float adjusted market capitalization is as given below:

As at	31.03.2026	31.12.2025
Public shareholding (%)	10.00	10.00
Public shareholders	3,264	2,957
Compliant under option 1 - float adjusted market capitalization (Rs. Bn)	4.1	4.6

26 Events After The Reporting Period

There have been no events subsequent to the reporting date, which require disclosure in the interim financial statements.

CORPORATE INFORMATION

Name of Company
Union Assurance PLC

Legal Form
A public limited liability company incorporated in Sri Lanka on 8 January 1987 and registered under the Companies Act No. 07 of 2007 and quoted on the Colombo Stock Exchange since 1988.

Company Registration Number
PQ 12

Tax Payer Identification Number (TIN)
134001372

Directors
K. N. J. Balendra - Chairperson
D. H. Fernando
S. A. Appleyard
D. P. Gamlath
P. T. Wanigasekara
C. M. L. Dias Bandaranaike
S. A. J. S. W Jayatilake - Appointed w.e.f 23 February 2026

Human Resources and Compensation Committee
D. H. Fernando - Chairperson
K. N. J. Balendra - Appointed w.e.f 01 January 2026
P. T. Wanigasekara

Nominations and Governance Committee
D. H. Fernando - Chairperson
K. N. J. Balendra
P. T. Wanigasekara

Related Party Transactions Review Committee
P. T. Wanigasekara - Chairperson
S. A. Appleyard
D. H. Fernando
C. M. L. D. Bandaranaike

Board Audit and Compliance Committee
P. T. Wanigasekara - Chairperson
D. H. Fernando
S. A. Appleyard
C. M. L. D. Bandaranaike

Investment Committee
J. G. A. Cooray - Chairperson
P. T. Wanigasekara
Senath Jayatilake
Himani Weerasekera
Malaka Mihindukulasuriya
Angelo Keil

SLFRS-17 Steering Committee
S. A. Appleyard - Chairperson
Sherin Cader

Secretaries and Registrars
Keells Consultants (Private) Limited
117, Sir Chittampalam A. Gardiner
Mawatha, Colombo 2.

Auditors
Messrs. KPMG (Chartered Accountants)
PO Box 186,
32A, Sir Mohamed Macan Markar
Mawatha, Colombo 3.

Appointed Actuaries
Willis Towers Watson India Private Limited
Unitech Business Park, 2nd Floor
Tower-B, South City 1, Sector 41
Gurgaon-122002
India.

Lawyers
The Legal Department
John Keells Holdings PLC
117, Sir Chittampalam A Gardiner
Mawatha,
Colombo 2.

Bankers
Sampath Bank PLC
Nations Trust Bank PLC
Union Bank Colombo PLC
Seylan Bank PLC
Pan Asia Banking Corporation PLC
Bank of Ceylon
Commercial Bank of Ceylon PLC
Deutsche Bank AG
DFCC Bank PLC
Hatton National Bank PLC
Housing Development Finance Corporation
National Development Bank PLC
National Savings Bank
People's Bank
Standard Chartered Bank

Reinsurance Panel
RGA
Hannover Re
Munich Re
Partner Re

Registered Office of the Company
20, St Michael's Road,
Colombo 3.

Investor Relations
All investor queries should be directed to;
Investor relations hotline 011-2990314
e-mail: investorrelations@unionassurance.com

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A JOHN KEELLS COMPANY

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